

BUSINESS RELATED RISKS

Risk	Raw material procurement - R1	Foreign currency risk - R2																																																
Overview	- Adverse impacts on the supply chain of our primary raw material, coconut shell based charcoal remains a key risk driven by fluctuations in coconut crop yields due to adverse weather conditions or other factors and increase in competition. - The shortage in supplies of our primary raw material, across all source markets led to challenges in sourcing adequate quantities for production while rising prices impacted financial performance.	Volatility in exchange rates exposes the Group to transaction risk as its revenue is primarily denominated in US dollars while operational costs are incurred in the currency of each country of operations.																																																
Mitigation strategies	- Coordinated efforts across our global manufacturing footprint and other major coconut producing countries in Asia to obtain adequate supplies. - Enhanced our raw material procurement teams across all source countries to strengthen collaboration with existing suppliers and expand our supplier network. - Leveraged our operational scale to access new raw material sources and commenced backward integration initiatives in Indonesia - Invested resources to build a local supplier network in proximity to our new manufacturing facility in the Philippines. - Development of activated carbon from alternative raw materials for specific markets and applications	- Entered into foreign currency forward contracts based on our foreign currency projections. - Forecasted foreign exchange rate movements and adjusted prices accordingly																																																
Post-mitigation impact of risk on our financial performance, position and cashflows in the short, medium and long term	Disruptions to raw material procurement <table><thead><tr><th>Category</th><th>LT</th><th>MT</th><th>ST</th></tr></thead><tbody><tr><td>Access to finance</td><td>0.5</td><td>0.5</td><td>0.5</td></tr><tr><td>Cost of capital</td><td>0.5</td><td>0.5</td><td>0.5</td></tr><tr><td>Financial position</td><td>3.5</td><td>1.5</td><td>1.5</td></tr><tr><td>Cashflows</td><td>3.5</td><td>1.5</td><td>1.5</td></tr><tr><td>Financial performance</td><td>3.5</td><td>1.5</td><td>1.5</td></tr></tbody></table>	Category	LT	MT	ST	Access to finance	0.5	0.5	0.5	Cost of capital	0.5	0.5	0.5	Financial position	3.5	1.5	1.5	Cashflows	3.5	1.5	1.5	Financial performance	3.5	1.5	1.5	Foreign currency risk <table><thead><tr><th>Category</th><th>LT</th><th>MT</th><th>ST</th></tr></thead><tbody><tr><td>Financial performance</td><td>0.5</td><td>0.5</td><td>0.5</td></tr><tr><td>Cost of capital</td><td>0.5</td><td>0.5</td><td>0.5</td></tr><tr><td>Financial position</td><td>3.5</td><td>1.5</td><td>1.5</td></tr><tr><td>Cashflows</td><td>3.5</td><td>1.5</td><td>1.5</td></tr><tr><td>Access to finance</td><td>3.5</td><td>1.5</td><td>1.5</td></tr></tbody></table>	Category	LT	MT	ST	Financial performance	0.5	0.5	0.5	Cost of capital	0.5	0.5	0.5	Financial position	3.5	1.5	1.5	Cashflows	3.5	1.5	1.5	Access to finance	3.5	1.5	1.5
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Link to strategy	Global supply chain	Global supply chain, Market growth																																																
Capitals Impacted	Financial, Natural, Social and Relationship	Financial																																																
Material Topic	M1, M4, M5	M5																																																